PRACTICE QUESTION – CONTINUANCE RISKS

It is February 20X7. You are the audit manager responsible for the external audit of the group consolidated financial statements of Patzer Hotels Group Limited ('Patzer Group'). Patzer Group has been an audit client of your firm, GM Smith LLP ('GM'), a firm of Chartered Accountants, for several years.

Patzer Group operates a range of luxury hotels. The group comprises a holding company and several wholly owned trading subsidiaries in the UK and four other countries.

The year-end fieldwork for the year ending 31 October 20X6, which has included some work being performed by several overseas offices of GM, has just been completed.

Your audit partner, David Durcan, has provided you with notes (Appendix) of a recent meeting with Carol Jones, the chief executive officer of Patzer Group, in which the audit for next year (ending 31 October 20X7) was discussed. He has asked you to prepare an evaluation of the audit engagement continuance risks at Patzer Group.

Required:

Evaluate the audit engagement continuance risks at Patzer Group.

(21 marks)

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APPENDIX – Notes from the meeting with Carol Jones, CEO of Patzer Group, (including subsequent follow-up notes) prepared by David Durcan

Carol noted that Patzer Group plans to continue its expansion in the coming year by further developing its current hotels and considering opportunities to expand into new geographical locations. Patzer Group is actively pursuing an opportunity to acquire a majority shareholding in a joint venture ('JV') based in Dubai, United Arab Emirates. The remaining shareholding in the JV would be owned by a British expatriate, Mike Tanning, who now resides in Saudi Arabia. In addition to the JV, Mike would become a director and a non-controlling shareholder of the Patzer Group.

Carol has proposed that, if the acquisition is successful, GM would be the auditor of the JV and, of course, the JV financial statements would be consolidated into those of the Patzer Group.

However, whilst she was pleased with the quality of the audit work in previous years, she feels that the audit fees overall are too high and would like these to be reduced. She has also requested that the audit of next year's consolidated financial statements be completed by 31 January 20X8. The audit report would normally be finalised in early March due to limited staff availability in January and February.

Carol stated that she is willing to negotiate a lower audit fee with an additional bonus if GM meets the 31 January completion deadline. She also reminded me that The Patzer UK finance manager has asked GM to provide a quote for carrying out a separate review of Patzer UK's revenue recognition policy. This review would be carried out once the current has been completed. This would provide GM with an attractive additional income stream.

Follow-up notes

Following the meeting, I performed some internet research into Mike Tanning and found that he has been involved in a variety of business ventures in different sectors. Several news articles indicate that a number of these ventures have been unsuccessful. Additionally, four years ago HMRC launched an investigation into a retail business of which Mike was a director and majority shareholder, on suspicion of corporate tax avoidance.